

remaining 90%. Coal India was pricing its coal at a significant discount to the landed cost of imported coal, as a means of lowering the cost of electricity in India. In October 2012, a U.K. activist sued the board of directors of Coal India for breach of its fiduciary duties and accused the government of India of “abusing its powers as a majority shareholder and for improperly exerting pressure on CIL directors.”⁹ In the end, the activist failed to get Coal India to increase its prices of coal.

Of course, government ownership alone does not make a business uninvestable; our investment in Vinamilk illustrates this. The state owned 47.6% of Vinamilk, yet it did not interfere with Vinamilk management’s decision to raise prices during inflation, allowing the company to continue earning high returns on capital. In this case, the government wanted to promote domestic food production to reduce its need to import food and to increase food security; thus, in this case, minority shareholders were aligned with the Vietnamese government.

Governments can control critical assets of national significance even without significant share ownership, by using regulation and taxation to achieve the same result. Any investment in any asset or company of national significance should be analyzed and undertaken with great caution. It is critical to understand the motives of the controlling shareholders, especially governments, to ensure their interests are aligned with the interests of foreign investors.

ATTRACTIVE ALTERNATIVES TO INVESTING IN INTERNATIONAL SECURITIES

The myriad risks specific to international markets might make U.S. investors wary of investing directly in international securities,

⁹ Times of India, “The Children’s Investment Fund Sues Government, Coal India Directors over Loss,” *Times of India*, October 13, 2012, <https://timesofindia.indiatimes.com/business/india-business/the-childrens-investment-fund-sues-government-coal-india-directors-over-loss/articleshow/16790705.cms>.